Ch. 26 CW Solutions

Principles of Macroeconomics

February 13, 2026

1. Better education for young women will boost the level of human capital per worker in the economy. A better educated population is more likely to advance the level of technological knowledge in the economy.

2. Interpretation 1: countries with more stable legal and political environments and countries with stronger protections on property rights create an environment that is more conducive to investing in physical capital and generating technological knowledge. As a result those countries are more productive and have a higher GDP per capita.

   Interpretation 2: Countries with a high GDP per capita have a higher average income and therefore more of an incentive to maintain stable legal and political environments and strong property rights. Their higher average income also gives them more resources with which to pursue those characteristics.